

GOVERNMENT OF INDIA
MINISTRY OF CIVIL AVIATION
RAJYA SABHA
UNSTARRED QUESTION NO : 2098
(TO BE ANSWERED ON THE 21st March 2017)

MOU SIGNED UNDER RCS-UDAN SCHEME

2098. SHRI SANJAY RAUT

Will the Minister of CIVIL AVIATION be pleased to state:-

- (a) whether Government of Maharashtra has signed any MoU with the Ministry for the implementation of Regional Connectivity Scheme (RCS-UDAN) to develop airports and to provide affordable air travel to common man;
- (b) if so, the details thereof; and
- (c) the details of assistance provided so far by the Ministry to the Government of Maharashtra for the proper implementation of RCS-UDAN scheme?

ANSWER

MINISTER OF STATE IN THE MINISTRY OF CIVIL AVIATION

(Shri Jayant Sinha)

(a) to (c): Government of Maharashtra has signed a Memorandum of Understanding (MoU) with Ministry of Civil Aviation and Airports Authority of India (AAI) to provide various concessions envisioned in the scheme. The primary objective of RCS is to facilitate / stimulate regional air connectivity by making it affordable. Promoting affordability of Regional air connectivity is envisioned under RCS by supporting airline operators through (i) concessions by Central Government, State Governments and airport operators to reduce the cost of airline operations on regional routes and (ii) financial support (viability gap funding or VGF) to meet the gap, if any, between the cost of airline operations and expected revenues on such routes. VGF will be shared between Ministry of Civil Aviation and the State Government in the ratio of 80:20 whereas for the States in North Eastern Region / UTs, the ratio will be 90:10.
